A part of GDP is spent in capital formation or investment. Households buy property and invest in financial assets like shares and bonds. Corporations invest in new projects and ventures. The part of GDP invested in capital formation creates assets. The aggregate value of assets owned by a household or corporation is the wealth of the concerned household or corporation.

In the final analysis, the wealth of corporations is owned by shareholders. The final beneficial owners of stocks in corporations are individuals and households. The wealth of a nation is thus equivalent to the wealth of all its households.

GDP or the flow of income has been measured for quite some time now. The wealth of a nation is a relatively new phenomenon. The twentieth century saw enormous expansion in GDP, which created enormous amounts of wealth. Valuation of wealth has fuelled further growth of wealth. While the national accounts of most countries still do not measure national wealth, many organizations/institutions have started computing and assessing the wealth of nations.

State of Global Wealth

The Credit Suisse Research Institute publishes a Global Wealth Report (GWR); the GWR 2020 edition was published in October 2020. According to GWR 2020, the size of global wealth at the end of 2019 was about $400 trillion ($3,99,179 billion). Global GDP in 2019 was $87.55 trillion, according to the IMF. While the global wealth estimates are for sixty-five countries, they encapsulate almost the entire global wealth. Thus, global wealth is about four-and-a-half times the size of global GDP.

Asia-Pacific is the wealthiest of the five continental regions (Asia-Pacific, North America, Europe, Latin America and Africa) with wealth of $164 trillion, a little over 40 per cent of global wealth. China’s wealth has